



CUSTOMER DEMAND MAPPING

Upper Dee

Supply and demand mapping for the Upper Dee catchment

PREPARED BY

Great Yellow

DATE

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01 Summary

Lead with peatland carbon at landscape scale, an indicative ~£14M over 20 years on 4,000 ha, against ~6,217 ha of degraded peat identified, with public co-funding available through Peatland ACTION.

- **Water Quality** has the single clearest buyer in Scottish Water, which relies directly on the Dee.
- **Voluntary Biodiversity** brings a warm utility and renewables cluster: SSEN, Scottish Power and Network Rail.
- **Replenish and supply chain resilience** add distillery and bottled water buyers, with Diageo strongest because Royal Lochnagar sits on the river. Natural Flood Management is parked.

GATING DECISION

Whether a TEV is commissioned, and whether the programme runs demand led or supply led. The main data gap is the outdated 2015 peat condition survey.

Market sizings, credit volumes and values in this document are indicative desk estimates, not valuations. They are subject to survey, methodology selection and buyer negotiation.

02 Project context

Objective

Landscape-scale restoration of the biodiversity-rich, carbon-rich Upper Dee headwaters, improving water quality at source, sequestering carbon in peat, and delivering biodiversity uplift at a flagship, catchment scale.

Site description and current land use

Upper Dee catchment within the Cairngorms, including tributaries Muick, Geldie and Baddoch. Peat-dominated uplands with low tree cover, around 8% in the upper catchment. The River Dee supplies Aberdeen, with a key abstraction point near Invercarnie and Cairnton.

Planned interventions

Peatland restoration as top priority, native woodland creation, river and catchment restoration, and habitat enhancement across the estates.

Target habitats and outcomes

Reduced dissolved organic carbon, known as brown water, and reduced sediment runoff. Improved flow regulation, carbon sequestration in restored peat, and biodiversity uplift.

Constraints and dependencies

Peatland condition data dates from 2015 and is likely outdated, so an updated survey is needed. A desktop analysis estimates around 6,217 ha of degraded peat across the estates. Two strategy questions remain open: whether a TEV is needed, and whether the commercial strategy is demand led or supply led.

POTENTIAL QUESTIONS

- Which estates are committed to delivery, and over what timeline?
- Can the 2015 peat condition data be resurveyed to firm up the restorable area?
- Is a TEV needed before approaching buyers?

03 Demand

Buyers are mapped market by market. Each market lists the buyers identified, why the Upper Dee is relevant to them, and the commercial hook.

Carbon peatland and soil

BUYER	WHY RELEVANT	HOOK
Diageo	£3M fund for UK peatland restoration; Royal Lochnagar sits on the Dee	Peatland removals plus source water protection
Peatland ACTION, NatureScot	Public funding for peatland restoration	Blends with credit sales
University of St Andrews	Institutional carbon buyer	Local removals
University of Edinburgh	Institutional carbon buyer	Local removals
University of Aberdeen	Was a target carbon buyer	Local removals
BP and Shell	Large corporates seeking removals	High-integrity UK removals

Water Quality

BUYER	WHY RELEVANT	HOOK
Scottish Water	Direct catchment reliance: abstracts from the Dee for Aberdeen near Invercarnie and Cairnton; concerned about rising DOC, sediment and treatment cost	Catchment restoration to protect source water and cut treatment cost

Scottish Power is present but limited in the Upper Dee and driven by biodiversity targets, whereas Scottish Water has direct catchment reliance driven by water quality and supply.

Voluntary Biodiversity

BUYER	WHY RELEVANT	HOOK
SSEN	No net loss moving to net gain; embedding biodiversity into grid design; active BNG-style adopter in Scotland	Flagship biodiversity uplift
Scottish Power	Net positive biodiversity by 2030; Nature Action Plan; peatland and woodland around windfarms; transmission near the lower Dee	Flagship nature-positive partnership
SSE plc	Parent of SSEN; nature-positive ambition	Group-level partnership
Network Rail	Delivering biodiversity uplift and large-scale planting	Habitat compensation
Scottish Water	Net positive and BNG commitments vary by programme; large landholding	Catchment-scale habitat work
Balfour Beatty	UK-wide BNG commitments applied to Scottish projects	Infrastructure biodiversity
Amey plc	Active in Scottish highways; biodiversity targets tied to Transport Scotland contracts	Contract-linked biodiversity

Replenish supply chain resilience

BUYER	WHY RELEVANT	HOOK
Deeside Water Company	Bottled water from Deeside springs; the brand is pristine Deeside water	Source protection for the brand
Diageo, Royal Lochnagar	Distillery on the Dee near Balmoral; net-zero and water-stewardship targets	Catchment resilience for a heritage distillery
Deeside Distillery	In the Dee catchment near Aboyne and Banchory; early stage and flexible	Partnership pilot
Lost Loch Spirits	Craft distillery on the Cairngorms edge; nature-connected positioning	Story-driven biodiversity partnership
City of Aberdeen Distillery and Brown Forman	Regional distillers	Source water resilience

Distilleries were hit by drought last year, with Diageo reporting water issues, which sharpens the resilience case.

Natural Flood Management parked

No buyers identified yet. Headwater flow regulation is a genuine co-benefit, but downstream flood-risk assets have not been mapped. Parked until a downstream case is built.

04 Supply

The planned interventions map to five candidate markets. Each is assessed for readiness, indicative size and market dynamics.

Market context is drawn from the Great Yellow environmental services rule books, refreshed October 2025 from the NatWest Markets Report.

Carbon peatland and soil		ACTIVE
FROM WHICH INTERVENTIONS	Peatland restoration, woodland creation	
INDICATIVE MARKET SIZING	Global voluntary carbon market £6.43B; UK voluntary carbon market around £396.9M. Project estimate around 544,000 credits over 20 years on 4,000 ha, around £14.1M at £26 per tonne.	
MARKET DYNAMICS	Buyers prefer removals. UK high-quality credits trade at £75 to £125 per tonne. Peatland runs via the Peatland Code, with PIU pricing 30% to 50% below verified PCUs.	

Water Quality		NASCENT
FROM WHICH INTERVENTIONS	Peatland restoration, woodland, catchment restoration	
INDICATIVE MARKET SIZING	£22.1B PR24 WINEP envelope in England; Scotland runs through Scottish Water investment.	
MARKET DYNAMICS	Strong buyer logic: reduces DOC, sediment and treatment cost at source. Deals are bespoke and there is no established MRV yet.	

Voluntary Biodiversity

EMERGING

FROM WHICH INTERVENTIONS

Habitat enhancement, landscape-scale restoration

INDICATIVE MARKET SIZING

Global credit sales £0.2M to £1.4M; domestic indicative around £684.7M.

MARKET DYNAMICS

Landscape scale and biodiversity rich, so attractive for flagship nature-positive partnerships. TNFD adopters are rising.

Replenish

NASCENT

FROM WHICH INTERVENTIONS

Catchment and river restoration, woodland

INDICATIVE MARKET SIZING

Not sized; bespoke deals only.

MARKET DYNAMICS

Sized by identifying demand. Coca Cola, Nestle and AstraZeneca are active elsewhere. Fits water-dependent brands sourcing from the Dee.

Natural Flood Management

NASCENT

FROM WHICH INTERVENTIONS

Peatland restoration, flow regulation

INDICATIVE MARKET SIZING

Not formally sized.

MARKET DYNAMICS

Headwater flow regulation reduces flashy flows. Lower priority until downstream flood-risk assets are identified.

Supply chain resilience

Supply chain resilience sits underneath as a further, bespoke stream: source water protection for distilleries and bottlers that draw from the Dee, usually framed as the resilience angle inside a bundled carbon, biodiversity or replenish deal.